

contagious. CDOs and their by-now hundreds of innovative kith and kin in banking are echoed in the flood of innovations among stock and bond mutual funds. Of late, these fund innovations that belie simplicity seem designed to respond more generally to the expectation that the returns on stock and bond funds over the coming decade will lag behind historic norms—and far behind the halcyon norms of the 1980s and 1990s, when annual stock returns averaged 17 percent and bond returns averaged 9 percent.

Who wouldn't want to recapture such days? We truly never had it so good before or since that time! But we know (within a reasonably narrow tolerance) what returns to expect from simple, broadly diversified portfolios of stocks and bonds over the next decade (likely 7 and 5 percent, respectively). So we have no choice but to rely on reasonable expectations, formed on the basis of the known sources of stock returns (the initial dividend yield plus the subsequent rate of earnings growth) and bond returns (the initial interest rate). What then explains our expectations (or our hopes) that we can outguess the markets and add additional returns by selecting complex strategies or managers that hold optimal subsets of the market portfolio? Dr. Samuel Johnson would answer: "It was the triumph of hope over experience."

Yet what comes from all this churn of fund innovation, other than a plethora of management and advisory and transaction fees? Inevitably, we are left with a certain melancholy about the objectives of those who provide these intermediation services. They must be well aware that most investors have been ill-served by innovation, and would be best served by the kind of simple, straightforward all-market index strategy that was pioneered at Vanguard. Indeed, as he relinquished the reins of the Magellan Fund in 1990, even Fidelity's remarkable Peter Lynch declared, "*Most investors would be better off in an index fund.*" He was right!

"Don't Just Stand There. Do Something!"